Submission to Applied Stochastic Models in Business and Industry

Hard to Beat: Historical Rules versus Conditional Quantile Models for Peak Net-Position Limits

Dear Editors,

Please consider this manuscript on forecasting the largest absolute dealer position reached during a review period.

The paper connects stochastic forecasting with a practical business decision: setting position limits before the review period ends. Its comparisons across hourly foreign exchange (FX) positions and weekly dealer aggregates fit your journal's applications of stochastic models in finance.

Three findings guide limit validation. Historical rules generally perform well; FX regression benefits from long histories, with gains that depend on the reference. Short training or validation histories favor historical rules in weekly comparisons; longer validation narrows median gaps, leaving large individual losses. Lower forecast scores need not reduce limit costs, since reserve and breach charges can change the preferred rule.

Preprint working versions are publicly available on GitHub, as disclosed in the public-version inventory. Code, protocols and aggregate results are available in the submission-final repository; the manuscript explains data access, source terms and excluded inputs.

[TO BE CONFIRMED BY AUTHOR: This manuscript is not under consideration elsewhere, all authors approve submission, and required data permissions have been obtained.]

Sincerely,

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